

Next, we see the expense related to ESOP. We can find in notes to accounts the share-based payments to employees under Employee Benefits Expenses.

(₹ in crores)

37 Employee Benefits Expense		
	For the year ended 31 st March 2021	For the year ended 31 st March 2020
Salaries and Wages	884.38	833.74
Contribution to Provident and Other Funds (refer Note 51)	55.28	50.83
Share-based Payments to Employees (refer Note 49)	17.24	14.44
Staff Welfare Expenses	23.96	28.21
TOTAL	980.86	927.22

38 Finance Costs		
	For the year ended 31 st March 2021	For the year ended 31 st March 2020
Interest expense on:		
Borrowings	15.53	9.38
Lease Liability (refer Note 54)	7.91	8.21
Unwinding of Liabilities (refer Note 45)	6.29	8.26
Dealer Deposits & others	7.50	7.75
TOTAL	37.23	33.60

We need to ask the following questions to understand ESOPs-

- ◇ What percentage of the company is outstanding as ESOP
- ◇ What is the ESOP policy of the company and the outstanding ESOP shares yet to be used?
- ◇ The expense related to ESOP. How large it is in comparison to the revenue of the company?
- ◇ What percentage of the company will be diluted by existing ESOPs granted?

The above are the basic questions that need to be asked about ESOP. These give us a good understanding of the use of ESOPs, their pool size, how large is the ESOP dilution, and what's the annual expense in terms of ESOP.

These questions need to be asked to companies to understand ESOPs well. In the next section, we will understand Lease Payments.